says finer details on implementation are still awaited.

Delayed payments continue to squeeze MSME working capital. The TReDS platform, an online marketplace that turns pending customer invoices into cash, has already shown results. It will now be mandatory for all Central Public Sector Enterprises (CPSE), regardless of size, requiring all CPSE procurement to be routed through it. Earlier, only CPSEs with a turnover above Rs 250 crore were required to register on the platform. "Through TReDS platforms, MSMEs are assured of receiving payments within 45 days, as mandated under the MSMED Act," says Ashok Saigal, chairman, Policy Advocacy, CII National MSME Council, and MD, Frontier Technologies. In addition, the introduction of a credit guarantee support mechanism through CGTMSE (Credit Guarantee Fund Trust for Micro and Small Enterprises) for invoice discounting under TReDS will ensure that MSMEs supplying to CPSEs with weaker balance sheets can get their bills discounted at favourable rates, while financiers receive risk cover from CGTMSE, he explains. A report by GAME and Dun & Bradstreet shows that in 2020-21, the smaller the enterprise, the longer it took to get paid: 195 days for micro, 68 days for small and 47 days for medium enterprises despite the MSMED Act mandating payments within 45 days of accepting goods or services. In 2020, 69 per cent of payments by public administration entities were delayed by over 60 days beyond the due date.

Ketan Gaikwad, MD and CEO of TReDS platform RXIL, describes the proposal to introduce trade receivables as asset-backed securities as a forward-looking reform. It has the potential to unlock additional liquidity by attracting new classes of investors and developing a secondary market for MSME receivables, he adds.

Further, a scheme to revive 200 legacy industrial clusters could significantly enhance cost competitiveness and efficiency by modernising shared infrastructure such as power, water, logistics and waste management, thereby lowering operating costs for units within the cluster.

Rising compliance requirements pose another challenge for MSMEs as they enter the formal ecosystem. In this context, the proposed introduction of 'Corporate Mitras'—accredited paraprofessionals, particularly in Tier-2 and 3 towns—should help MSMEs meet compliance obligations at affordable costs. All the right boxes have been ticked, now for reality to match intent. ■

THE FUTURE BET

- A dedicated Rs 10,000 crore SME Growth Fund to encourage equity-led growth
- Widening scope of discounting invoices under TReDS will ease the issue of delayed payments MSMEs face
- Reviving 200 legacy clusters and modernising infrastructure will raise their cost competitiveness and efficiency

"The budget ticks many of the right boxes for MSMEs by supporting demand, managing inflation and addressing key challenges such as equity-led funding and delayed payments"



— ANIL BHARDWAJ, *Secretary General, Federation of Indian Micro and Small and Medium Enterprises*

THE NEW

Infrastructure development in potential through a risk guaran

By **AVISHEK G. DASTIDAR**



INDUSTRY SIZE
₹25 LAKH CRORE
(Construction & Real Estate)

BUDGET ALLOCATION
₹18,625 CRORE
PM Awas Yojana-Urban

₹5,000 CRORE
Per City Economic Region over five years

₹200 CRORE
CIE (Construction and Infrastructure Equipment) Scheme